

EXECUTIVE SUMMARY

CORE PROBLEM

The brand has built a strong customer base, but a significant share of repeat purchases are driven by discounts rather than genuine loyalty. As a result, retention appears healthy on the surface while margins are being eroded and long-term customer value remains uncertain. Most of the discount budget subsidizes loyalty the brand already has

CUSTOMER SEGMENTATION

Brand Purist

- Loyal to the brand
- Buy Consistently at full price

Promo Dependent

- Loyal to the brand
- Buy Consistently at discounted price

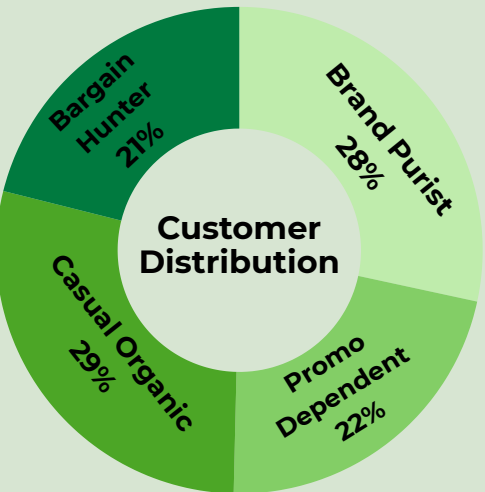
Casual Organic

- Not loyal to the brand
- Buy Consistently at discounted price

Bargain Hunter

- Not loyal to the brand
- Buy Consistently at full price

DATA FINDINGS



SEGMENT	MEAN CONSISTENCY SCORE	DEPENDENCY	LOYALTY
Brand Purist	0.562	0.000	0.767
Promo Dependent	0.561	0.438	0.479
Bargain Hunter	0.197	0.802	0.000
Casual Organic	0.198	0.000	0.210

IDEAL CUSTOMER PROFILE

Consistent
-Consistent Buying Habits

High CLV score
-Customer Lifetime Value

Full Price
-No discount applied

Observations



- 701 such customers (~ 1 in 5)
- Generate 30% revenue of the company
- Average spend is \$70 per order
- Arizona, Alaska and Tennessee - highest demand

TIMELINE

Enroll the highest-value promo-dependent customers into Premium Membership

0-2 Months

Extend Premium Membership to the mid-value promo-dependent segment.

5-6 Months

3-4 Months

Analyse repurchase rate and proceed with plan only if it is <15% the Purist benchmark

MARGIN IMPACT

Best case
5% Churn rate **\$457,466** Net Annual recovery

Average Case
10% Churn rate **\$228,461** Net Annual recovery

Worst case
15% Churn rate **\$171,617** Net Annual recovery

PROPOSED SOLUTIONS



Replace flat discounts with a store credit system: general base earns at 3% of purchase value with 28-day expiry, Premium members earn at 2% supplemented by non-monetary benefits



662 Loyal: Promo Dependent customers (High + Mid CLV, ≥25 purchases) transition to Premium Membership containing non monetary benefits in a phased three-stage rollout over six months

Low CLV Promo-Dependent Customers remains on the current discount program until sufficient Phase 3 data is available